

Millionaires Don't Use Leverage

Because I'm often on TV talking about finances, I keep my eye on what other financial folks are saying. Usually, their advice is the exact opposite of mine. Just in the past few weeks, I've heard other financial experts talk about borrowing money from a bank to invest in stocks; using a home equity line of credit against a paid-for home to purchase rental properties; taking out loans to flip speculative properties out of state; and loaning your own money out to others to fund someone else's scheme. Are you noticing a theme here? Most of the financial wizards out there want you to use debt—oh, excuse me, “leverage”—to get rich. Like I've said, though, I don't want to help you get rich. I want to help you build wealth. The wealthy people I know don't rely on debt.